

Key Terms, Explanations and Disclosures

The following Terms and Disclosures are provided as a guide. Costs, Fees, and Repayment Terms are specific to each individual Investment, and estimates will be provided during the application process. Final Costs and all Fees will be provided at Closing.

Key Terms		Explanation
Home Equity Investment/ Home Equity Agreement	HEI or HEA	A collaboration where you partner with a provider and an investor (who may or may not be the same entity) to access cash without selling your entire home. The investor provides funds in exchange for a share of your home's future value.
Agreed Home Valuation	TBD	The current estimated value of your home, which is subject to final confirmation. Any changes in the home's condition may impact the Valuation, the Investment Percentage and/or the Provider's Return.
Investment Payment	TBD	The gross amount of money you will receive from the Investment in your home. Origination and any other up-front costs will be netted out from this amount at Closing.
Investment Percentage	TBD	The Investment Payment as a percentage of the Agreed Home Valuation.
Exchange Rate	1.85	The price of the Investment, but it will be expressed as a percentage of the property's value subject to underwriting.
Payment Terms	Due at Agreement Exit/ Termination	This is NOT a traditional loan. No interest is charged on the Investment Payment, and there are no monthly payments due. The Investment Provider receives a Return (see Provider's Return) at the end of the Agreement Term unless the homeowner exits the agreement earlier.
Investor's Return	TBD	In exchange for the up-front cash payment (a percentage of your home's value), the Investor will receive a set percentage of the home's future value when your Agreement ends. Typically the lessor of the Exchange Rate or the ACL.
Annualized Cost Limit (ACL)	TBD	The maximum annual cost of the Agreement, expressed as a percentage of the investment return, from the beginning to the end of the arrangement. This limit is subject to underwriting considerations.
Combined Lien to Value (CLTV)	TBD	Maximum amount of debt and equity financing secured by your home, including your mortgage(s) if any and the Agreement, expressed as a percentage of the Agreed Home Valuation.

Costs at Closing		Explanation
Agreement Costs	TBD	Costs charged by the originator in connection with processing, underwriting and closing the Agreement.
Other Costs	TBD	Costs charged by 3rd party partners in connection with closing the Agreement.

Additional Terms & Considerations	Explanation
Early Termination	There are no penalties for exiting this contract and buying back your equity early. Contact the Provider to request buy back instructions.
Home Valuation	If either party disagrees with the Automated Valuation Model (AVM) value provided for the subject property, an appraisal may be requested and paid for by the requesting party. The Provider may or may not be the final Investor in the home and the investing party reserves the right to make a discounted offer.
Homeowner's Insurance	This investment requires homeowner's insurance on the property, which you may obtain from a company of your choice subject to the Provider's acceptance.
Assumptions and Transfers	If you sell or transfer the subject property to another party during the term of the Agreement, the Provider does not allow the transfer or assumption of this contract on the original terms.
Re- Investment	Obtaining a new or renewed Investment for this property at expiration of the Agreement will depend on your future financial situation, the property value and market conditions at that time. Provider does not guarantee any right to obtain another Investment with the subject property.
Home Ownership	The Agreement is a legally binding contract that outlines the rights and responsibilities of the homeowner and the Investor. The homeowner retains all occupancy and use rights. Additionally the homeowner remains responsible for other obligations related to the property, including mortgage payments, property taxes, insurance and repairs.
Servicing	Provider will determine, in conjunction with the underlying Investor, all service obligations for the Agreement. Provider reserves the right to transfer the servicing of the Agreement at any time.
Agreement Exit	You have flexibility at the end of the Agreement term. You can sell your home or buy out the contract. Options to buy out the contract can include using cash on hand, a refinance, or even a new Investment subject to underwriting approval. When there is no sales price, the exit valuation is determined by AVM, or an appraisal paid for by the requesting party.

NOTE: These disclosures, definitions and terms may vary slightly in your final Agreement, as Investors and Third Parties may use slightly different terminology. Please read all materials carefully including your final Agreement and all Closing Documents.